

BOILING POINT
People queue up to refill LPG cylinders, Faridabad, Mar. 22; (below) DMK MPs protest delimitation, Delhi, Mar. 19

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above the 5 per cent mark in the current financial year.

The Gulf war had also been putting pressure on the rupee, which fell to nearly 97 to the dollar on May 20. The rising cost of India's imports during the war have widened the current account deficit (the difference in the value of the country's exports and imports) while falling net FDI and an increased outflow of foreign portfolio investments have impacted the capital account. The crisis on the balance of payments front became evident when PM Modi on May 10 exhorted citizens to curb spending on fuel, gold and foreign travel to curb the outflow of money. The RBI, meanwhile, drew heavily on its reserves to shore up the rupee, which caused the national forex stockpile to fall from an all-time high of $728.5 billion in February 2026 to around $676.2 billion by late July 2026.

According to experts, the government's priorities in the wake of the West Asia war should be agriculture, MSMEs (micro, small and medium enterprises), the environment and alternative energy. In agriculture, the focus must be on raising productivity, promoting value-added products, reducing wastage and boosting exports, while making the sector more resilient to the vagaries of climate change. For MSMEs, which create and absorb the maximum number of jobs, skill creation, say experts, must remain the foremost priority.

3. PASSING THE DELIMITATION BILL

This is one test that Modi has set for himself—and it is a high-stakes gamble. The BJP leadership is looking for a legislative victory substantial enough to energise the cadre and steer the national conversation away from Jantar Mantar. The 10-hour debate on the examinations amendment, in which younger MPs such as Tejasvi Surya and Bansuri Swaraj took centre stage, was only a curtain-raiser. The real contest lies in two constitutional measures being shepherded by Amit Shah's home ministry. The first is the One Nation, One Poll amendment, aimed at holding simultaneous general and state elections. Cleared by the Ram Nath Kovind committee, it was introduced in the Lok Sabha in December 2024 and now awaits scrutiny by a joint parliamentary committee. The second is a fresh push for delimitation, a politically fraught exercise that is positioned as an enabling precondition for the implementation of the promised 33 per cent reservation for women in Parliament from 2029, expanding the total number of seats in the Lok Sabha from 550 to 850. Back in April, the government had convened a special session for the purpose but had failed to muster the requisite numbers.

ENACTING THE DELIMITATION BILL IS CRUCIAL FOR MODI TO STEER THE NATIONAL CONVERSATION AWAY FROM JANTAR MANTAR

The government's arithmetic has improved since. The BJP's landslide victory in West Bengal on May 4, winning 207 of its 294 seats, heralded its first government in the eastern state. It was followed by a split in the Trinamool Congress that took about 20 Lok Sabha MPs and